CHAPTER 3

Banks

3.1 BANKS AND BANK MONEY CREATION

Although the word bank has been used several times already, no definition has been provided. A good reason to defer this definition is that it is not easy to provide one given on one hand the many functions banks perform, and on the other hand the many banking functions performed by non-banks. In a very narrow sense, a bank is an institution that holds itself out as offering the service of paying cash on demand to its customers. This cash can be money held at the bank after having first been placed there by the customer, or money that is created through the provision of credit, as outlined below.

The core function of banks as depositary institutions is that they offer the service of accepting deposit money from the public and paying back these deposits, usually on demand. Deposits that are repaid only after a set period are known as time deposits, those that can be reclaimed at any time as demand deposits or sight deposits. In the United States, so-called checking deposits are demand deposits that can be drawn on by writing cheques. Banks in some cases offered to certify deposited amounts through pieces of paper, called bank notes.

Many bank functions are related to this core definition. Banks for instance offer securities dealing and custody services which require cash payments to purchase securities, and crediting of interest and dividend payments to the customer accounts. Some non-banks can perform very similar functions. Insurance companies and asset managers also hold client assets but may have different rules for accessing these assets and turning them into cash.

The functions performed by banks pre-dated the existence of banks as an institutional species. For instance, the Knights Templar operated a financial service network that can be compared to modern-day travellers cheques. Another impetus for the development of banking was that merchants employed their capital in the form of loans to other merchants as an alternative to risking it in their own ventures. Merchants had the choice to charter a ship, send it to a faraway destination with goods and money for exchange, and try selling the goods returned, if any, for a profit using their own capital. Providing partial financing to a similar venture by another merchant offered different risks and returns and gave rise to the business of merchant banking [84].

3.2 CATEGORIES OF BANKS

Banks are usually set up for particular purposes that are narrower than the general definition above. Some banks are set up to collect funds for particular types of investments. The Banque de France of John Law and the Bank of England were set up to fund government expenditure [41,53]. Schlesische Landschaften, Deutsche Pfandbriefbank and Kreditkassen for Husejerne i Kjøbenhavn started as institutions to collect funds for real estate projects of various types. Many commercial banks, meanwhile, focus on trade financing. At the same time, banks are also founded with a focus on their liability side, namely as vehicles to invest funds from particular communities. Mutual and savings banks in Europe, the regional banks in Japan, and US community banks are as much concerned with managing the liquid assets of their communities as they are with particular asset side business. Last but not least, some banks serve as infrastructure providers to other financial institutions and are less well known outside this industry. Such institutions would comprise the Continuous Linked Settlement Bank (CLS Bank) offering settlement services in the FX market, or State Street and Bank of New York acting as custodians for the asset management industry.

It should be noted that setting up a bank to fund a particular type of economic activity does not mean that this activity has free access to funds. Like any enterprise, banks need to be able to earn their cost of capital to remain in business indefinitely. At the same time, banks compete in the market for customer assets, both among each other and against other types of asset manager, or indeed non-financial investments. When specialist banks are set up to conduct promotional lending, such as development banks, the advantage they provide to their clientele versus other lenders stems from lower cost of capital. This is usually provided through a non-profit nature (which means that the paid-up capital does not carry an equity risk premium), and guarantees for their funding (which reduces the credit risk premium of their debt). Brecht's famous pseudo-koan 'What is the robbing of a bank compared to the setting up of a bank?' is therefore flawed.

Some jurisdictions create different classes of banking businesses and prevent single legal entities from engaging in more than one of them. The original separation principle was the US Glass-Stegall Act of 1933 which prevented securities underwriters from conducting regular banking business. One motivation of this law was to police the conflicts of interest that arise when a bank can decide to lend to a firm on its own risk, or invite customers to assume this risk. The Glass-Stegall Act was repealed under President Clinton in 1999 but at the time had only limited practical effect. Japan retains a clear separation between banks, trust banks, and securities firms, and requires this separation to be explicit in the names of the legal entities. Firms of different types are permitted, however, to be held within the same holding companies. Germany and France retain specialist bank designations (Sparkassen, Banques Populaires, Sociétés de crédit foncier) but Germany abolished its specialist Pfandbriefbank designation in 2005. As a result of the 2008 financial crisis, the United Kingdom introduced a concept of ring-fencing which requires that the assets and liabilities of retail banks need to be isolated from those of a wholesale bank in the same group. This is an advanced form of segregation designed to protect retail customers from the supposedly riskier parts of a bank. Other jurisdictions achieve similar effects by requiring 'living wills', i.e., continuously updated plans for an orderly wind-down of a complex and significant financial entity.

Banking separation is a principle that must not be confused with the idea of 'narrow banking', also known as 'positive money'. This concept in political economics seeks to address financial risks by prohibiting the creation of private credit money as discussed below. In essence, narrow banking amounts to total government control over the money supply, which, given the fluctuations in money demand, means government control over the allocation of credit.